Vision, Mission, Goals, Objectives & Strategic Planning Hierarchy

(Financial Organization Perspective)

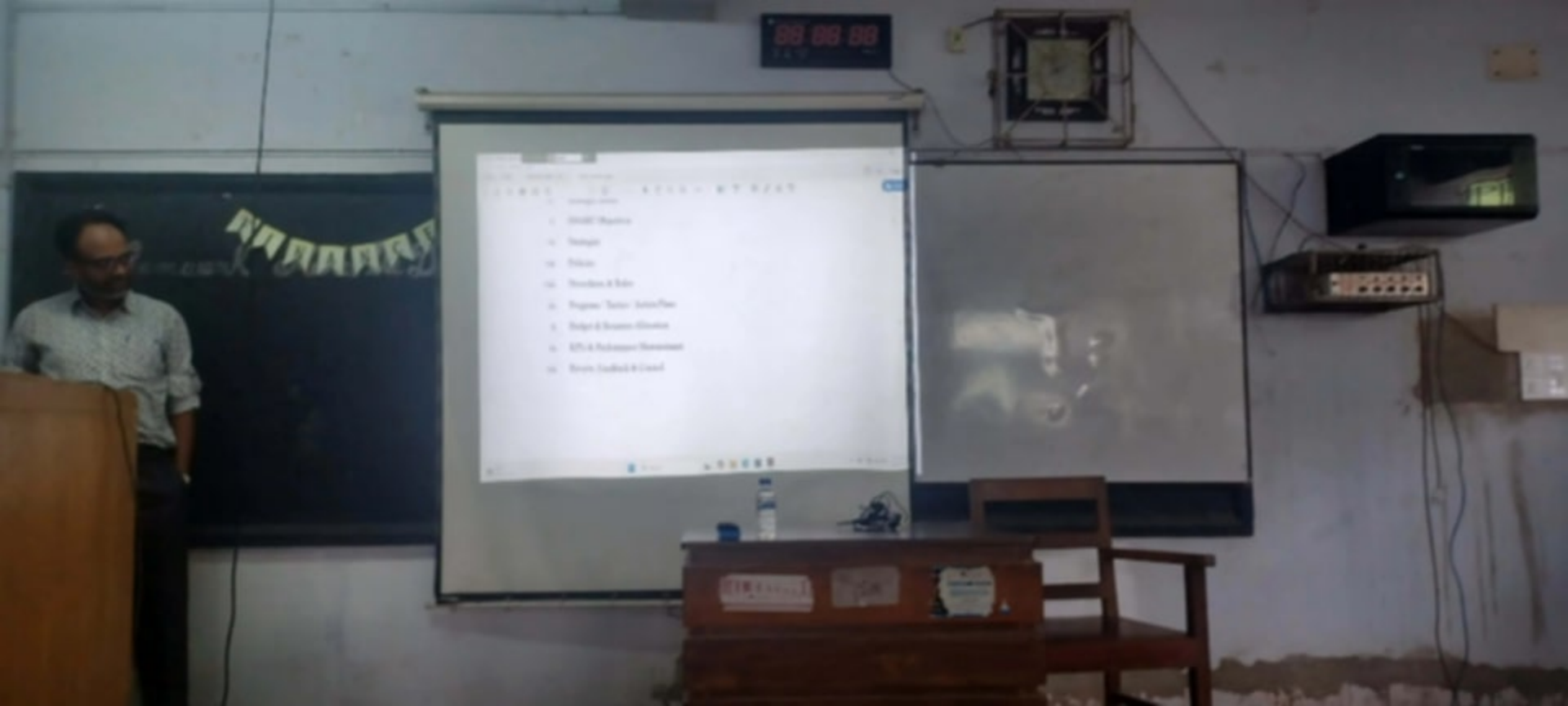
Introduction

Every organization operates through a planned direction. A financial institution, such as a bank, insurance company, leasing company, or microfinance institution, cannot operate successfully without defining:

- ✓ what it believes in,
- ✓ where it wants to go,
- ✓ why it exists,
- ✓ what it wants to achieve,
- ✓ and how it will achieve those targets.

These elements together form the **Strategic Planning Hierarchy** of an organization.

Strategic Planning Hierarchy of a Financial Organization



ABCBank Financial Services Ltd.

A modern financial institution providing:

- ✓ commercial banking,
- ✓ mobile banking,
- ✓ SME financing,
- ✓ agent banking,
- ✓ and digital financial services.

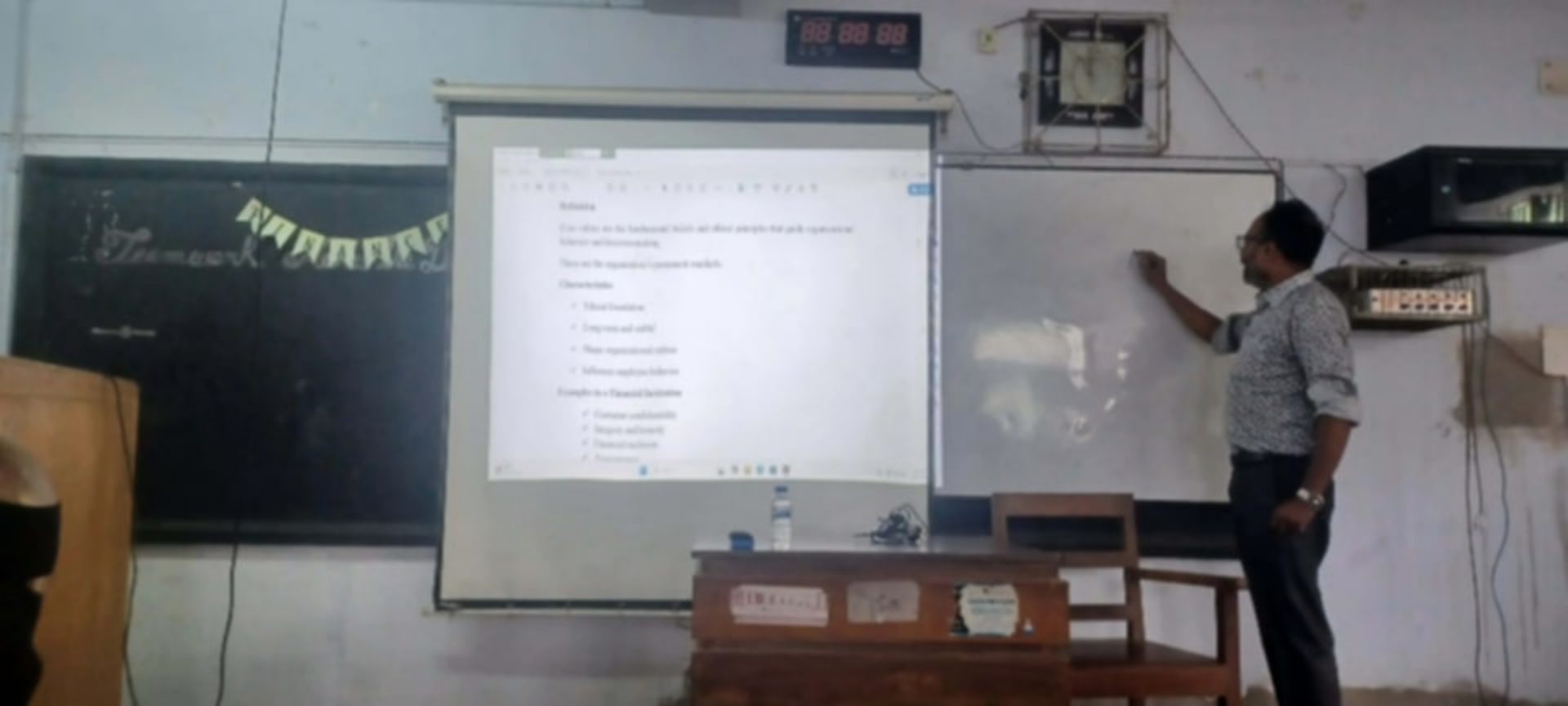
Step 1: Core Values & Philosophy

("What We Believe In")

Definition

Core values are the fundamental beliefs and ethical principles that guide organizational behavior and decision-making.

These are the organization's permanent standards.


Definition
Characteristics
Examples in a Financial Institution

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These are the organization's permanent standards.

Characteristics

- ✓ Ethical foundation
- ✓ Long-term and stable
- ✓ Shape organizational culture
- ✓ Influence employee behavior

Examples in a Financial Institution

- ✓ Customer confidentiality
- ✓ Integrity and honesty
- ✓ Financial inclusion
- ✓ Transparency

- Clear reporting lines
- Influence employee behavior

Examples in a Financial Institution

- ✓ Customer confidentiality
- ✓ Integrity and honesty
- ✓ Financial inclusion
- ✓ Transparency
- ✓ Regulatory compliance
- ✓ Responsible banking

ABC Bank

"We believe in ethical banking, customer trust, transparency, and financial inclusion for all communities."

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Step 2: Vision Statement

("Where We Want to Be")

Definition

A vision statement describes the desired future position of the organization.

It expresses the organization's dream and long-term aspiration.

Characteristics

- Future-oriented
- Inspirational
- Broad and ambitious
- Long-term focus

Time Horizon

"To become the most trusted and technology-driven financial institution promoting inclusive economic growth in Bangladesh."

Step 3: Mission Statement

("Why We Exist")

Definition

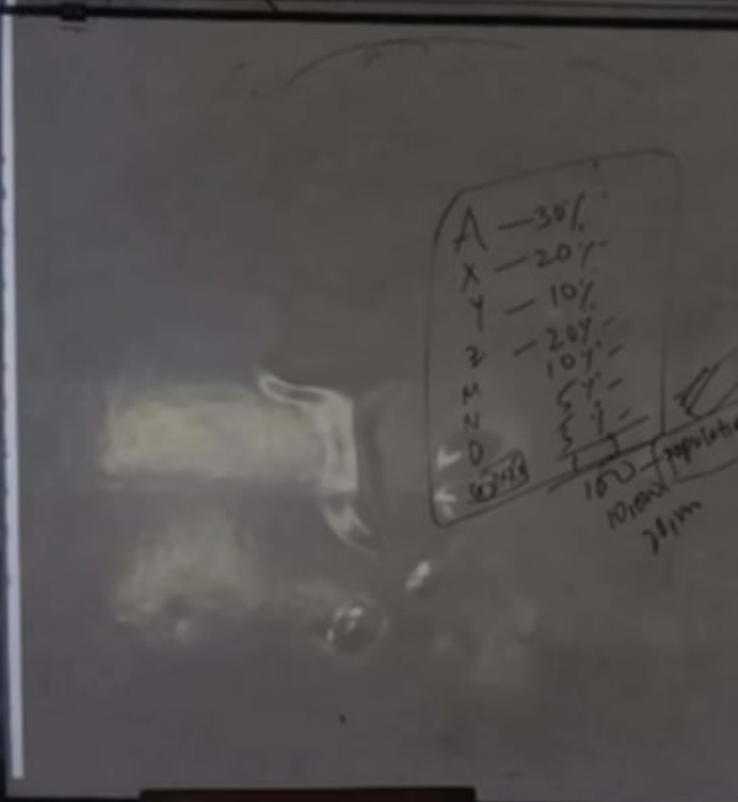
A mission statement explains:

→what the organization does, →whom it serves, →and how it creates value.

It focuses on present operations.

Characteristics

Present-oriented



Stable but flexible

Customer-focused

Time Horizon

Current to 3–5 years

Purpose

I. Guides day-to-day decisions

II. Defines organizational scope

III. Clarifies business activities

ABC Bank Mission

"To provide innovative, secure, and customer-centered financial services that improve the financial well-being of individuals and businesses."

Difference Between Vision and Mission

Vision	Mission

i. Guides day-to-day decisions

ii. Defines organizational scope

iii. Clarifies business activities

ABC Bank Mission

"To provide innovative, secure, and customer-centered financial services that improve the financial well-being of individuals and businesses."

Difference Between Vision and Mission

Vision	Mission
Future-oriented	Present-oriented
Describes destination	Describes purpose
Inspirational	Operational
Long-term	Medium-term
"Where do we want to go?"	"Why do we exist?"

"To provide innovative, secure, and customer-centered financial services that improve the financial well-being of individuals and businesses."

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"Where do we want to go?"	"Why do we exist?"

Step 4: Strategic Goals

("What We Want to Achieve")

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("What We Want to Achieve")

Definition

Goals are broad qualitative outcomes derived from the mission and vision.

They indicate the organization's desired achievements.

Characteristics

- Broad

Time Horizon

Usually 3-5 years.

Examples of Strategic Goals

1. Become a leading digital bank in Bangladesh.
2. Expand SME financing nationwide.
3. Improve customer satisfaction.
4. Reduce loan default risk.
5. Strengthen cyber-security systems.

ABC Bank Goal Example

"To become the leading provider of digital SME banking services."

Step 5: SMART Objectives

("Specific Measurable Targets")

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Definition

Objectives are specific, measurable, achievable, relevant, and time-bound targets designed to accomplish organizational goals.

SMART Components

Letter	Meaning
S	Specific
M	Measurable
A	Achievable
R	Relevant
T	Time-bound

("Specific Measurable Targets")

Definition

Objectives are specific, measurable, achievable, relevant, and time-bound targets designed to accomplish organizational goals.

SMART Components

Letter Meaning

S Specific

M Measurable

A Achievable

R Relevant

T Time-bound

Examples

- Increase mobile banking users from 1 million to 3 million by 2027.
- Reduce non-performing loans from 8% to 4% within two years.
- Increase SME loan portfolio by 25% next fiscal year.
- Open 20 new agent banking outlets by December 2026.

Difference Between Goals and Objectives

Goals	Objectives
Broad	Specific
Qualitative	Quantitative
Long-term	Short/medium-term
Difficult to measure directly	Easily measurable
Provide direction	Provide measurable targets

Step 6: Strategies

("How We Will Achieve Objectives")

Definition

A strategy is a comprehensive long-term plan designed to achieve organizational objectives and gain a competitive advantage.

Characteristics

- Long-term orientation
- Resource allocation
- Competitive focus

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